

Table 68.2 General Statistics

Description	Bull Market	Bear Market
Number found	1,964	677
Reversal (R), continuation (C) occurrence	100% R	100% R
Average decline	−14%	−22%
Standard & Poor's 500 change	−3%	−11%
Days to ultimate low	56	40
How many change trend?	26%	49%

Number found. I found 2,641 patterns in 828 stocks with the first one appearing in July 1991 and the most recent in May 2019. Not all stocks covered the entire period, and some no longer trade.

Reversal (R), continuation (C) occurrence. By definition, a triple top reverses the upward price trend when it breaks out downward. Although continuation patterns do happen from time to time, I didn't separate them from reversals.

Average decline. The average decline of triple tops in bear markets is 22%, considerably more than the 14% decline in bull markets. Because triple tops are bearish chart patterns, it makes sense that they would perform better in bear markets than in bullish ones.

Standard & Poor's 500 change. If you compare the average decline (14%, 22%) with the market decline (3%, 11%), you can see the market influence on triple top performance. Bear markets help stocks decline. This finding suggests that you short a stock in bear markets or sell a long holding before the cleaners find you.

Days to ultimate low. In bull markets, it takes about 2 months to reach the ultimate low and about 1.5 months in bear markets. Comparing the average decline in both markets by how long it takes to get there, we find that price drops 2.2 times as fast in bear markets as in bull ones.

This finding emphasizes the need for stops. Without a stop, if you are not careful, your loss can grow to huge proportions quickly, especially in bear markets.